

FEDERAL MARITIME COMMISSION

TCW, Inc.,

Claimant,

v.

EVERGREEN SHIPPING AGENCY
(AMERICA) CORP. & EVERGREEN
LINE JOINT SERVICE
AGREEMENT

Respondents.

Docket No. 1966(I)

Served: February 13, 2025

BY THE COMMISSION: Louis E. SOLA, *Chairman*; Rebecca F. DYE, Max S. VEKICH, *Commissioners*. Daniel B. MAFFEI, *Commissioner*, concurring.

Order on Remand

This case is before the Commission on remand from the United States Court of Appeals for the District of Columbia Circuit (“D.C. Circuit”). In 2021, the Small Claims Officer (“SCO”) issued an Initial Decision (“I.D.”) finding that Respondents Evergreen Shipping Agency (America) Corporation and Evergreen Line Joint Service Agreement’s (collectively, “Respondent”) charges were

unjust and unreasonable, but that Respondent's invoicing practices were not. The SCO ordered Respondent to pay Claimant TCW, Inc. ("Claimant") the requested reparations (\$510) and to cease-and-desist from imposing detention charges when they do not serve their incentivizing purposes, such as when empty equipment cannot be returned on weekends, holidays, and port closures. On review, the Commission affirmed the I.D. in its entirety (the "FMC Order"). After Respondent petitioned for judicial review, the D.C. Circuit vacated the Commission's decision as to the determination that Respondent's charges were unjust and unreasonable and remanded the case to the Commission.¹

The Commission will now address the only issue on remand, the reasonableness of Respondent's charges.² For the reasons set forth below, the Commission finds that Evergreen's charges were unjust and unreasonable, under 46 U.S.C. § 41102(c), as interpreted by 46 C.F.R. §§ 545.4(d) and 545.5. The Commission thereby affirms the I.D. as to the reasonableness determination and directs Respondent to pay Claimant's requested reparations. The Commission reverses the I.D.'s cease-and-desist order on other detention charges because case-by-case determinations are necessary to assess the reasonableness of challenged demurrage and detention practices.

¹ The reasonableness of Respondent's detention charges was the only issue that Respondent petitioned for review before the D.C. Circuit. *See* Brief of Petitioners at 17 nn.8-9, *Evergreen Shipping Agency (America) Corp. v. Fed. Mar. Comm'n*, 106 F.4th 1113 (D.C. Cir. 2024) (No. 23-1052) (Petitioner-Respondent stating it was not appealing other issues from the FMC Order).

² The Commission reincorporates all other findings and orders, excluding the finding on the reasonableness of Respondent's detention charges, from the FMC Order that were not before the D.C. Circuit as part of Respondent's appeal. *See TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp. & Evergreen Line Joint Servs. Agreement*, Docket No. 1966(I), 2022 WL 18068977 (FMC 2022). Specifically, the Commission reincorporates its findings on jurisdiction, elements (a)-(c) and (e) of Claimant's claim under 46 U.S.C. § 41102(c) as interpreted by 46 C.F.R. § 545.4, and the denial of Claimant's request for an order directing Respondent to invoice per diem directly to beneficial cargo owners.

I. BACKGROUND

The Commission sets out the background and procedural history relevant to the current dispute. A fuller recitation of this matter's history may be found in the FMC Order Affirming the I.D. See *TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp., & Evergreen Line Joint Servs. Agreement*, Docket No. 1966(I), 2022 WL 18068977 (FMC 2022).

A. Factual Background

On March 14, 2020, Evergreen Line Joint Service Agreement, an ocean common carrier, issued Yamaha Motor Company, Ltd. ("Yamaha"), an importer and beneficial cargo owner, a non-negotiable sea waybill to deliver a shipment from the Port of Shimizu, Japan to Yamaha's facility in Newnan, Georgia. *TCW, Inc. v. Evergreen Shipping Agency (America) Corp., & Evergreen Line Joint Servs. Agreement*, 3 F.M.C.2d 1, 8 ¶¶ 5-8 (ALJ 2021) (the "I.D."). As part of the transportation arrangement for the shipment, Yamaha designated Claimant as its "preferred trucker" and thereby authorized TCW to transport the shipment from the Port of Savannah ("the Port") to Yamaha's facility. *Id.* at 8 ¶ 9.

Yamaha, Claimant, and Evergreen Shipping Agency (America) Corporation, a New Jersey corporation that acts as a North American agent for Evergreen Line Joint Service Agreement, signed a Preferred Trucker Agreement ("PTA") in which Respondent agreed to the designation of Claimant as the preferred trucker for Yamaha's import and export cargoes. *Id.* at 8 ¶ 10. Per the PTA, Claimant (as the motor carrier) is required to be a signatory to the Uniform Interchange and Facilities Access Agreement ("UIIA") and Evergreen Shipping Agency's individual addendum to the UIIA ("Evergreen Addendum"). *Id.* at 8-9 ¶¶ 11-12. The UIIA is a contract between motor carriers and equipment providers and regulates the motor carrier's access and use of the containers and chassis. *Id.* at 9 ¶ 13. The Evergreen Addendum supplements the general provisions of the UIIA and includes details specific to Respondent regarding free time, "per diem" charges (demurrage and

detention),³ and dispute resolution procedures. *Id.* at 9 ¶¶ 14-15. According to the contract, the PTA's terms and conditions control in the event of a conflict. *Id.* at 8-9 ¶ 11.

Respondent provided Claimant a free chassis for use in transporting the Yamaha shipment. *Id.* at 9 ¶ 20. Per the shipping agreement, Yamaha, and therefore Claimant, were entitled to receive twenty-one days of free time for the container and four days of free time for use of the chassis. *Id.* at 9 ¶ 22. Claimant was required to pay "per diem" charges or detention charges to Respondent for any unreturned equipment after the expiration of the free time, including on weekends and holidays. *Id.* at 9 ¶ 18.

On April 28, 2020, the cargo arrived at the Port and was retrieved by Claimant. *Id.* at 9 ¶ 23. Per the terms of the agreements, the free time expired for the chassis on May 4, 2020, and on May 19, 2020 for the container. *Id.* at 10 ¶ 28. Claimant returned both on May 26, 2020. *Id.* at 9 ¶ 23. Per the terms of the Evergreen Addendum, Respondent invoiced Claimant for detention charges for the equipment in the amount of \$1,050 for 7 days of detention for the container (May 19-25, 2020), and \$440.00 for 22 days of detention for the chassis (May 4-25, 2020) for a total of \$1,490. *Id.* at 10 ¶¶ 30-31.

Claimant disputed with Respondent three days of charges for \$510 corresponding to when the Port was closed on May 23-25, 2020, Saturday through Monday. *Id.* at 10 ¶ 33. Since March 2020, the Port was temporarily closed on Saturdays because of the

³ In the notice of proposed rulemaking for the Interpretative Rule on Demurrage and Detention Under the Shipping Act, "the Commission discouraged use of terms such as 'storage' and 'per diem' as synonyms for demurrage and detention because these terms add additional complexity and are apparently inconsistent with international practice." 85 Fed. Reg. 29638, 29663 (2020) (citing 84 Fed. Reg. 48850, 48854 (2019)). After reviewing submitted comments, in the final rule, the Commission stated that the Interpretative Rule does not "mandate" certain terms, but the Commission affirmed "that consistent demurrage and detention language would be beneficial," and encouraged using "detention" rather than "per diem." 85 Fed. Reg. at 29663-64. The Commission therefore refers to Respondent's charges as detention.

COVID-19 pandemic, and it was also regularly closed on Sundays and the Memorial Day Monday holiday. *Id.* at 10 ¶¶ 24-27. Claimant explains that the delayed return of the equipment was the result of a COVID-19-related closure at Yamaha's Newnan plant, and the equipment could not be picked up until May 23, 2020, when the Port was already closed. *Id.* at 24 (citing Claimant's Amended Cl. Pgs. 3-4; Cl. Brief at 1). Respondent declined to waive the disputed charges. *Id.* at 10-11 ¶ 34. Claimant then paid Respondent in full and later invoiced Yamaha \$1788.00 for the detention charges, which Yamaha subsequently paid. *Id.* at 11 ¶¶ 35-38.

B. Procedural History

On June 18, 2020, the Secretary of Federal Maritime Commission issued a Notice of Filing of Small Claims and Assignment, noting that Claimant filed this small claims action⁴ against Respondent alleging that Respondent violated 46 U.S.C. § 41102(c) by, inter alia, invoicing for detention on weekends, holidays, and during temporary port closures, when Claimant had no ability to return empty containers. I.D., 3 F.M.C.2d at 3. Claimant requested, among other relief, an order directing Respondent to (1) reimburse it \$510.00 in detention charges for May 23-25, 2020 when the Port was closed, and (2) forbidding Respondent from imposing detention charges on days when a motor carrier has no ability to return equipment due to a port closure. *Id.* at 2-3.

On February 19, 2021, the SCO issued an I.D. finding that it was unjust and unreasonable under § 41102(c) for Respondent to have charged Claimant detention when the Port was closed. *Id.* at 32. The SCO, therefore, ordered Respondent to pay Claimant's requested reparations, and to cease and desist from imposing detention when equipment cannot be returned on weekends, holidays, and port closures. *Id.* at 33.

⁴ The filing of this case precedes the Ocean Shipping Reform Act of 2022 and the FMC's resulting regulation on demurrage and detention billing practices, codified at 46 C.F.R. § 541.

On February 24, 2021, the Commission sua sponte requested to review the decision of the SCO, rendering the I.D. inoperative, and allowed additional briefing from the Parties and amicus briefs to aid in its review. *See* Docs. 2, 3. On December 29, 2022, the Commission issued an Order Affirming the Initial Decision in its entirety, with a dissent from Commissioner Bentzel. FMC Order, 2022 WL 18068977. The Commission affirmed the I.D.’s order for Evergreen to pay TCW the requested reparations and repeated the cease-and-desist order. *Id.* at *9-10.

Respondent petitioned the D.C. Circuit for review of the FMC Order on the finding that its charges were unreasonable under § 41102(c). *See* Brief of Petitioners at 17 nn.8-9, *Evergreen Shipping Agency (America) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113 (D.C. Cir. 2024) (No. 23-1052). On July 5, 2024, the D.C. Circuit granted the petition, vacated the FMC Order as to the reasonableness determination, and remanded the matter to the agency for further proceedings. *Evergreen Shipping Agency (America) Corp.*, 106 F.4th 1113. The court determined that the Commission erred by failing to adequately analyze the incentive effect of the detention charges at issue and by failing to respond reasonably to Respondent’s arguments justifying the charges separate from the incentive principle. *See id.* at 1114. The court did not determine whether Respondent’s charges were unjust or unreasonable under § 41102(c).

II. DISCUSSION

A. Standard of Review

When the Commission reviews an SCO’s Initial Decision pursuant to 46 C.F.R. § 502.304(g), it has “all the powers which it would have in making the initial decision.” 46 C.F.R. § 502.227(a)(6). The Commission therefore reviews the SCO’s findings de novo. *Id.*; *see also Santa Fe Discount Cruise Parking, Inc., d/b/a EZ Cruise Parking, et al. v. Board of Trustees of the Galveston Wharves, et al.*, Docket No. 14-06, 3 F.M.C.2d 59, 67 (FMC 2021) (reviewing de novo an ALJ’s initial decision on remand

following the D.C. Circuit's opinion vacating and remanding the initial Commission decision). The D.C. Circuit's opinion did not fault the development of the factual and legal record during proceedings at the agency, but rather the Commission's analysis of those facts and arguments. *See Evergreen Shipping Agency (America) Corp.*, 106 F.4th at 1117-18. The Commission, therefore, relies upon the existing record and the Parties' submissions to the SCO and the Commission for its analysis now.

B. Respondent Charging Detention on May 23-25, 2020 Was Unjust and Unreasonable Under § 41102(c)

A successful claim for reparations under § 41102(c) must demonstrate five necessary elements. 46 C.F.R. § 545.4.

- a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- d) The practice or regulation is unjust or unreasonable; and
- e) The practice or regulation is the proximate cause of the claimed loss.

The only issue before the Commission on remand from the D.C. Circuit is whether Respondent's charges were unjust or unreasonable under § 545.4(d). The Commission explained how it would assess whether a demurrage or detention charge is unreasonable in 46 C.F.R. § 545.5 (the "Interpretative Rule"). The Interpretative Rule states that the Commission will apply the "incentive principle" to consider whether the charges are serving their "primary purposes as financial incentives to promote freight fluidity." 46 C.F.R. § 545.5(c)(1). The Rule further states that

“absent extenuating circumstances,” imposition of detention charges on the return of empty containers “are likely to be found unreasonable” when such charges do not serve “incentivizing purposes” that promote freight fluidity. 46 C.F.R. § 545.5(c)(2)(ii). The Interpretative Rule also states that “[n]othing in this rule precludes the Commission from considering factors, arguments, and evidence in addition to those specifically listed in this rule.” 46 C.F.R. § 545.5(f). The D.C. Circuit determined that the FMC “commit[ted] to making a circumstantial, fact-bound inquiry in the interpretative rule.” 106 F.4th at 1118.

Accordingly, the Commission follows the D.C. Circuit’s direction and will assess reasonableness by balancing how a particular charge fits within the incentive principle to further the primary purpose of promoting freight fluidity alongside other arguments and extenuating circumstances raised by the parties to determine if they are relevant to assessing reasonableness and if so, whether they outweigh the finding under the incentive principle.

For the reasons set forth below and upon full consideration of the Parties’ arguments and alleged extenuating circumstances, the Commission determines that Respondent’s charging of detention over a Saturday-Monday period from May 23-25, 2020 was unjust and unreasonable in violation of § 41102(c). Although the detention charges clearly created an incentive to return the equipment before the three-day closure, the results of that incentive are not reasonably likely to promote freight fluidity overall. Respondent’s other arguments and alleged extenuating circumstances also are insufficient, both individually and collectively, to show the charges were reasonable. The Commission affirms the SCO’s finding as to the award of reparations, but it reverses the imposition of a cease-and-desist order.

1. Respondent's Detention Charges on May 23-25, 2020 Did Not Ultimately Serve to Incentivize Freight Fluidity

As the Commission explained when adopting the Interpretative Rule, “to pass muster under section 41102(c), a regulation or practice must be tailored to meet its intended purpose,” and the Commission “continues to understand demurrage and detention as primarily being financial incentives to promote freight fluidity.” Interpretive Rule on Demurrage and Detention, Docket No. 19-05, 85 Fed. Reg. 29638, 29651-52 (May 18, 2020). Neither of the Parties dispute the I.D.’s finding of facts that the Port “where the equipment was to be returned, was closed for business from May 23, 2020 to May 25, 2020,” and thus Claimant could not return the equipment on those days. *See* I.D., 3 F.M.C.2d at 10 ¶¶ 24-27. The Commission previously determined that the incentive principle was not being served when Respondent invoiced for detention charges on the three days when the Port was closed because “no amount of detention can incentivize the return of a container when the terminal cannot accept the container.” FMC Order, 2022 WL 18068977, at *5. Per the direction from the D.C. Circuit, the Commission now utilizes a broader lens when applying the incentive principle, as one facet of its reasonableness analysis, to determine if the charges at issue are furthering the goal of promoting freight fluidity. *See Evergreen Shipping Agency (America) Corp.*, 106 F.4th at 1118.

The Commission acknowledges that there is an incentivizing effect for Claimant, or a similarly situated party, to return equipment before scheduled port closures to avoid accruing detention charges. It is logical that a party would want to avoid paying a penalty that will grow over multiple days when it knows in advance that a port is scheduled to be closed and will be unable to accept equipment returns, as Respondent argues in its brief. *See* Respondents’ Supplemental Brief at 6, Doc. 4. Yet, the goal of the incentive principle is to ensure that reasonable detention charges “promote freight fluidity,” a concept that is broader than simply the quickest equipment return and which requires balancing competing incentives. *See* 46 C.F.R. § 545.5(c)(1). The incentive created by

charges accruing over scheduled closures is outweighed by countervailing negative effects to the freight delivery system.

Incentivizing equipment to be returned just before scheduled closures will not always have a positive impact on freight fluidity. Common carriers and others at ports would likely not be able to process and turn around equipment returned late on the Friday before a weekend closure because they too likely would not be working during a port's closure. There is likely minimal positive effect on freight fluidity for these containers returned right before port closures. Thus, detention charges in these circumstances would not serve the ultimate goal of promoting freight fluidity, but rather are serving to penalize shippers and truckers unreasonably. Additionally, multi-day scheduled closures could lead to congestion and logjams at ports when truckers rush to return equipment to avoid harsher penalties, which also hinders freight fluidity.

There are also disincentivizing effects created by allowing charges over scheduled closures. Amicus filings in support of Respondent contend that not charging detention over scheduled weekend and holiday closures would disincentivize prompt equipment return and thereby harm freight fluidity. *See* Amicus Brief of the World Shipping Council in Support of Respondents at 14-15, Doc. 7; Brief of Amicus Curiae Ports America and SSA Terminals, LLC In Support of Respondents at 3-4, Doc. 9. These arguments overlook that truckers and shippers have their own commercial reasons separate from avoiding detention charges to promptly return equipment, including contractual timelines between the parties, space constraints storing containers, and truckers' incentive to earn greater revenue through additional equipment pickups and returns. *See* 85 Fed. Reg. at 29652 n.221 (citing, *inter alia*, comment from the Agriculture Transportation Coalition that shippers want cargo to move promptly); Claimant's Supplemental Brief at 7-8, Exs. C-D, Doc. 10 (explaining that truckers have their own "incentives" to "return equipment as timely as possible" as they are harmed by port congestion lowering productivity and revenue).

And most importantly, these contentions assume that incentives can only flow in one direction to promote freight fluidity. They overlook that allowing detention charges over scheduled closures have their own disincentivizing effect on the entities assessing the charges. As articulated in the final rule, these charges “may also lessen the incentive for ocean carriers and marine terminal operators to perform efficiently,” such as by maintaining open terminals to allow for the timely return of equipment. 85 Fed. Reg. at 29652-53. Detention charges that place all financial risk on the shippers and their intermediaries during scheduled port closures do not encourage the carriers and marine terminal operators (“MTOs”) to be creative or innovative about how they could promote freight fluidity.

For example, ocean carriers have considerably more leverage over MTOs than shippers and truckers. If the carrier could not count on receiving revenue from these charges, they would be incentivized to take action, such as encouraging ports to expand their hours over weekends, which could significantly increase freight fluidity. *See* National Association of Waterfront Employers brief of Amicus Curiae in Support of Respondents at 15, Doc. 5 (“If carriers are not permitted to assess detention charges on weekends when ports and terminals are closed, they may pressure ports and terminals to open on weekends.”). Carriers and MTOs may ultimately decide expanded hours are not the most efficient outcome, but detention charges over weekend closures are not currently incentivizing those entities to consider this or other possible steps to promote freight fluidity. Accordingly, when balancing the competing incentives, the Commission finds that detention charges over scheduled closures do not incentivize behavior that will best promote freight fluidity.

In addition to assessing the incentives of detention charges broadly, the Commission also analyzes the specific incentives at issue here, in line with its commitment that “each demurrage and detention case under section 41102(c) would be decided on its own facts.” *See* 85 Fed. Reg. at 29642; *see also Evergreen Shipping*

Agency (America) Corp., 106 F.4th at 1118 (finding the “FMC [] commit[ted] to making a circumstantial, fact-bound inquiry in the interpretive rule”). The SCO in the I.D. made the following determinations based on the Parties’ submissions: (1) Yamaha, the beneficial cargo owner here, had shut down its plant due to COVID-19 during the period in which Claimant dropped off the equipment at issue; (2) Yamaha informed Claimant that the equipment would be ready for pickup on May 23, 2020 (the Saturday when the Port was closed); and (3) Claimant explained it made all efforts to work with Yamaha to “ensure that the cargo and equipment ha[d] moved as fluidly as possible.” *See* I.D., 3 F.M.C.2d at 10 ¶ 25, 25 (citing Claimant’s Am. Cl. Pgs. 3-4; Brief at 1). The SCO found that “[n]o evidence contradicts these claims,” I.D., 3 F.M.C.2d at 25, and the Commission agrees.

Claimant’s explanation for the delayed equipment return was made in its sworn complaint, and Claimant submitted an email from Yamaha to Claimant providing the date to pick up the equipment. *See* Claimant’s Complaint at 3, Ex. D; Claimant’s Amended Complaint at 3-4. Respondent submitted no contradictory evidence rebutting Claimant’s sworn statement or submitted exhibit. *See, e.g., Steadman v. SEC*, 450 U.S. 91, 101 (1981) (“[W]here a party having the burden of proceeding has come forward with a prima facie and substantial case, he will prevail unless his evidence is discredited or rebutted.” (citations omitted)). The SCO was right to credit Claimant’s un-rebutted explanation, particularly in light of the purpose of informal proceedings under Subpart S to “provide a prompt and cost effective adjudication of complaints.” *See* I.D., 3 F.M.C.2d at 5 (citation omitted); *see also EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc.*, 2008 WL 7149852, 31 S.R.R. 540, 547 (FMC 2008) (“In administrative proceedings, an agency Administrative Law Judge (ALJ) should admit all relevant and arguably reliable evidence and then should determine the relative probative value of the admitted evidence when he writes his findings of fact.” (cleaned up)). Based on the uncontroverted facts in the record, no amount of detention charges over the Port’s scheduled closures could have incentivized Claimant

to return the equipment before the closures because Claimant could not collect the equipment any earlier.

Therefore, both broadly and specifically, the Commission finds that Evergreen's charges over the scheduled Port closures on May 23-25, 2020, did not incentivize freight fluidity. Thus, the detention charges are likely unreasonable absent "extenuating circumstances" or other "factors, arguments, and evidence" that can establish reasonableness. *See* 46 C.F.R. § 545.5(c)(2)(ii), (f). We address these circumstances and factors below.

2. None of the Extenuating Circumstances or Arguments Raised by Respondent Are Sufficient to Establish Reasonableness

Respondent put forth several "extenuating circumstances" and justifications for its charges, including the length of free time provided by Respondent, Claimant's agreement to the contracts governing the charges, the well-communicated notice of the Port's closures on May 23-25, 2020, and the equipment's free time ending before the Port's closure. Respondent also argued that detention charges can serve a compensatory purpose, but it did not provide evidence sufficient to show that the charges at issue here were intended to compensate Respondent for specific costs. As explained below, the Commission has fully considered these arguments, in line with the D.C. Circuit's instruction to explain whether Respondent's other arguments "were not relevant to whether the detention charges were just and reasonable or were outweighed by countervailing considerations." *See Evergreen Shipping Agency (America) Corp.*, 106 F.4th at 1117. None of Respondent's justifications, either individually or collectively, are sufficient to establish that Respondent's charges were reasonable.

First, Respondent contends that the 21 days of free time for the container was "generous" and should have provided sufficient time for unloading such that it was reasonable to invoice for the disputed detention charges after free time. *See* Respondents' Supplemental Brief at 7, Doc. 4. An ocean carrier's decision to

provide free time on its equipment, and the length of that free time, is relevant to an assessment of the reasonableness of detention charges. Providing more than marginal free time on equipment to a trucker and shippers weighs in favor of a finding of reasonableness.

However, this factor alone is not dispositive in the reasonableness inquiry and must be assessed alongside all other considerations and the specific factual circumstances of the case. Even though the free time provided was generous, it was not reasonable for Respondent to assess the detention charges after the expiration of 21 days of free time *during the Port's closure*. Assessing charges after the expiration of the free time, but on days when the port was open, on the other hand, was reasonable and in this case, Claimant paid such charges without complaint.

Respondent also argues that Claimant agreed to the contractual terms allowing Respondent to invoice for these detention charges and that Claimant did not allege “fraud or undue influence by Respondents,” so it is not “unjust or unreasonable that Claimant be bound by its contracts.” *See* Respondents’ Supplemental Brief at 9-10, Doc. 4; Respondents’ Briefing of the Issues Specified in the S.C.O.’s Order of December 3, 2020 at 20. This argument misapprehends the Commission’s oversight authority over shipping contracts, as the SCO explained and which the Commission affirms. *See* I.D., 3 F.M.C.2d at 28. “Ocean carriers and marine terminal operators (and ocean transportation intermediaries) do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c).” 85 Fed. Reg. at 29648. The Commission has further emphasized the importance of closely scrutinizing detention and demurrage contract provisions when adopting the Interpretative Rule, as “there is reason to question whether demurrage and detention practices are normally the subject of arms-length negotiation between parties with remotely equal bargaining power,” given that most shippers and their intermediaries, even large commercial players, “lack significant bargaining power as compared to ocean carriers.” *See id.* at 29648-

49. Thus, Claimant's agreement to these contractual provisions does not render Respondent's detention charges reasonable.

Respondent also points to the dispute resolution and arbitration policies in the UIIA as demonstrating reasonableness. *See* Respondents' Supplemental Brief at 9, Doc. 4. As articulated in the Interpretative Rule, "the existence, accessibility, content, and clarity of the policies implementing demurrage and detention, including dispute resolution policies" is a relevant consideration in the reasonableness analysis. *See* 46 C.F.R. § 545.5(d). The existence of these policies weighs toward reasonableness, but it is not dispositive and is outweighed by more significant considerations in the reasonableness determination.

Respondent further contends that the Port's closure on May 23-25, 2020, was scheduled and known in advance, unlike some examples referenced in the Interpretative Rule, which Respondent classifies as "short term un-warned of Terminal closure[s]." *See* Respondents' Briefing of the Issues Specified in the S.C.O.'s Order of December 3, 2020 at 12-15; Respondents' Supplemental Brief at 6, Doc. 4. Claimant has not disputed that these closures were known and communicated in advance. *See* Claimant's Complaint at 3, Ex. E (email notices sent to Claimant regarding Port's closures). Whether a port's closure is uncommunicated or not well-communicated is a relevant consideration in determining the reasonableness of detention charges. *See* 85 Fed. Reg. at 29655. As explained above, advance and well-publicized notice of port closures can weigh in favor of the reasonableness of assessing detention charges during those closures because parties will have more time to take steps necessary to return equipment prior to the closures.

However, this consideration is not dispositive and must be considered alongside other factors and the specific facts of each case. Indeed, as the Interpretative Rule made clear, the reasonableness determination under § 41102(c) "would continue to be decided on its particular facts" and any examples offered in the

guidance are not exclusive of practices which may ultimately be found unreasonable. *See id.* at 29639. Based on the factual record developed in this case, even though Claimant had advance notice of the Port's closure, it was not able to get the equipment back from Yamaha earlier than May 23, 2020, despite its efforts because of Yamaha's plant closure. *See I.D.*, 3 F.M.C.2d at 25 (citing Claimant's Am. Cl. Pgs. 3-4; Brief at 1). Claimant's awareness of the closures does not make Respondent's detention charges reasonable because Claimant was unable to act on this knowledge to return the equipment earlier when the Port was open.

Finally, Respondent argues its charges were reasonable because the equipment was already past the allotted free time during the Port's closure on May 23-25, 2020, referencing the "well-established principle of 'once on demurrage, always on demurrage.'" *See* Respondents' Briefing of the Issues Specified in the S.C.O.'s Order of December 3, 2020 at 10; Respondents' Supplemental Brief at 7, Doc. 4. As the SCO found, the free time for the chassis expired on May 4 and for the container on May 19, while the equipment was not returned until May 26. *See I.D.*, 3 F.M.C.2d at 9 ¶ 23, 10 ¶ 28. Under the "once-in-demurrage, always-in-demurrage" principle, the shipper bears the risk of anything after free time has ended. As explained in the rule, this would mean that "once free time ends, it would not be unreasonable to impose demurrage on a shipper even if the shipper is unable to retrieve the container due to circumstances outside the shipper's, or anyone's, control." 85 Fed. Reg. at 29652.

During the rulemaking process, the Commission received comments from ocean carriers and MTOs urging the Commission to reaffirm the principle of "once-in-demurrage, always-in-demurrage," while other commenters requested that the Commission expressly overrule it. *See id.* The Commission did neither, stating that it "does not agree with some commenters' arguments that it is always a reasonable practice to charge detention and demurrage after free time regardless of cargo availability or the ability to return equipment." *Id.* at 29653. Indeed, to hold that any

imposition of detention charges, regardless of the specific circumstances, is reasonable because the equipment was already past the expiration of free time would impose precisely the sort of “bright line rule” the Commission declined to adopt in the interpretative guidance. *Id.* at 29654. Merely because a container is already in a state of detention does not mean that charges are reasonable and can continue to accrue regardless of circumstance.

The Commission recognizes, however, that an ocean carrier may accrue additional costs once equipment is held by the shipper and its intermediaries beyond the expiration of free time. Whether a detention charge is intended to compensate the carrier for those additional costs can be relevant to the reasonableness inquiry, as the Commission made clear in adopting the Interpretative Rule. *See id.* at 29653 (“[T]he rule does not preclude the Commission from considering whether demurrage and detention have some compensatory aspect when determining the reasonableness of specific practices in individual cases.”). The Commission further clarified that while industry participants differ on the purpose of detention and demurrage, historically any compensatory function of these charges was intended to reimburse ocean carriers only for additional costs incurred after free time expired. *See id.* at 29651. Detention charges, therefore, “are not the mechanism by which ocean carriers recover all costs related to their equipment,” as evidenced by the “ideal” scenario in which equipment is picked up and returned within allotted free time and no charge is therefore imposed on the equipment. *See id.* at 29651 n.214.

Again, the Commission made clear that the Interpretative Rule “does not preclude ocean carriers and marine terminal operators from arguing *and producing evidence* regarding the compensatory aspects of demurrage and detention in individual cases.” *See id.* at 29652 (emphasis added). Respondent failed to produce such evidence here. Respondent argues it had to pay its own equipment providers for some of the equipment held by Claimant past free time, specifically the chassis, which was trip leased. *See* Respondents’ Briefing of the Issues Specified in the S.C.O.’s Order

of December 3, 2020 at 1-2, 19-20. Yet, as the SCO correctly observed, “Respondents do not state that the per diem charges at issue were pass through per diem charges from their providers for the days in question, and have not submitted any evidence indicating so.” *See* I.D., 3 F.M.C.2d at 27. There is insufficient evidence in the record of this case to support a finding that the detention charges here could have been reasonable as compensation for costs allegedly incurred by Respondent after free time expired.

Based on a careful review of the facts and circumstances here, none of the additional justifications or extenuating circumstances, alone or collectively, establish the reasonableness of Respondent’s detention charges. There are thus not sufficient “extenuating circumstances” to outweigh the finding that the charges were unreasonable as they did not best incentivize freight fluidity nor do any of Respondent’s other arguments establish reasonableness. *See* 46 C.F.R. § 545.5(c)(2)(ii), (f). Upon consideration of all relevant factors, Respondent’s detention charges for May 23-25, 2020 were, on balance, unjust and unreasonable in violation of § 41102(c).

C. Claimant is Entitled to Reparations but the Commission Will Not Issue a Cease-And-Desist Order on Future Detention Charges

The Commission reincorporates its prior findings affirming that Claimant is entitled to reparations because Respondent’s charges were unreasonable. *See* FMC Order, 2022 WL 18068977, at *8-9. The Commission reverses the I.D.’s order directing Respondent to “cease and desist from imposing per diem charges when imposition of per diem charges does not serve its incentivizing purposes, such as when empty equipment cannot be returned on weekends, holidays, and port closures,” absent “extenuating circumstances.” I.D., 3 F.M.C.2d at 33. The Commission finds it is necessary to make a case-by-case determination as to the reasonableness of challenged demurrage and detention practices, examining alleged extenuating circumstances and the arguments put forth by the parties. This approach is supported by the Interpretative

Rule and its guidance on applying the incentive principle, as well as the D.C. Circuit's analysis of the Rule. *See* 46 C.F.R. § 545.5(c)(2)(ii), (f); *Evergreen Shipping Agency (America) Corp.*, 106 F.4th at 1118.

III. CONCLUSION

For the reasons explained above, and incorporating the Commission's findings from its Order issued in 2022, the Commission finds that Claimant has met its burden of proof in demonstrating that Respondent's practices were unjust and unreasonable under § 41102(c), as interpreted by 46 C.F.R. §§ 545.4 and 545.5.

Accordingly, for the reasons set forth above, the Commission **AFFIRMS** the Initial Decision that Respondent's actions were unjust and unreasonable, and it is hereby **ORDERED** that Respondent pay reparations to Claimant in the amount of \$510.00 with interest \$70.03 running on the reparation award from June 6, 2020, totaling \$580.03.

The Commission **REVERSES** the Initial Decision's order that absent extenuating circumstances Evergreen Shipping Agency (America) Corporation and Evergreen Line Joint Service Agreement cease and desist from imposing per diem or detention charges when imposition of per diem charges does not serve its incentivizing purposes, such as when empty equipment cannot be returned on weekends, holidays, and port closures.

By the Commission.

David Eng
Secretary

Commissioner Maffei, concurring:

I concur with the majority's opinion in full. I write separately, however, to express my additional concerns related to the use of the term "per diem" in the parties' contract to describe the Respondent's detention charges. As the majority notes, the Commission has discouraged the use of "per diem" because it is unclear, adds additional complexity to an agreement, and is subject to inconsistent application across the industry. Majority Opinion at p. 4, n. 3.

"Per diem" is defined as "by the day; for each day." *Per diem*, BLACK'S LAW DICTIONARY (12th ed. 2024). This definition is clear, as should be its application in the context of the Interpretive Rule. In my opinion, the validity of this "per diem" provision necessarily depends on the bilateral ability of the parties to perform under its terms (*i.e.*, the existence of reciprocal risks and responsibilities between the parties), not a unilateral shift of all risks to the shipper. Put another way, I believe that the Interpretive Rule allows the Respondent to charge a daily detention fee only when the Complainant has an opportunity to cure the default at least once before each additional daily fee is charged.

The fallacy of the Respondent's position lies in its oversimplified presumption that detention is akin to rent. Detention is a fee, not rent, and is distinguishable because its primary purpose is to incentivize the movement of cargo and equipment. Here, however, the Respondent's argument unreasonably shifts the burden of all potential detention charges to the Complainant without regard for the root cause of the detention, much like a renter. The Respondent's interpretation of the "per diem" clause could be applied in a way that always inures to the benefit of those assessing detention (or demurrage) charges and to the disadvantage of shippers, who would be responsible for these fees even when it is

impossible to return (or pick up) the shipping container for an unspecified time.

Accepting the Respondent's position in this case would violate the Interpretive Rule and the Ocean Shipping Reform Act of 2022, which endorses it. The same logic could, for example, be applied to a long-looming labor dispute, which forces a port closure. Shippers needing to return equipment to the port could have advance notice of the closure and know that the dispute could last for many weeks or even months. Nonetheless, according to the Respondent, the assessment of detention charges would be permissible for the duration of the port closure despite a shipper's capacity and willingness to return the overdue equipment at an earlier date but for the port being closed. Another example of an absurd result can be seen in a situation where a natural disaster is forecast and then strikes a port. The port is then shut down for weeks on end, preventing the shipper from returning a container through no fault of their own, yet leaving the shipper responsible for weeks of "per diem" fees simply because they did not return the box before the disaster. I assert that in each of these situations, it would be unfair and unreasonable to allow for the collection of multiple detention charges because the fees become meaningless where the parties do not have reciprocal risks and responsibilities incentivizing cargo fluidity. My reading of the Interpretive Rule is that each and every time a new fee is charged there must be a new opportunity to avoid it.